

events, like panics and sudden crashes that wipe a trader out in a flash. To the contrary, he wants to benefit from them. When people ask him why he does not hold on to losers, he invariably answers that he was trained by “the most chicken of them all”, the Chicago trader Stevo who taught him the business. This is not true; the real reason is his training in probability and his innate skepticism.

There is another reason why Nero is not as rich as others in his situation. His skepticism does not allow him to invest any of his own money outside of treasury bonds. He therefore missed out on the great bull market. The reason he offers is that it could have turned out to be a bear market and a trap. Nero harbors a deep suspicion that the stock market is some form of an investment scam and cannot bring himself to own a stock. The difference with people around him who were enriched by the stock market was that he was cash-flow rich, but his assets did not inflate at all along with the rest of the world (his treasury bonds hardly changed in value). He contrasts himself with one of those startup technology companies that were massively cash-flow negative, but for which the hordes developed some infatuation. This allowed the owners to become rich from their stock valuation, and thus dependent on the randomness of the market's election of the winner. The difference with his friends of the investing variety is that he did not depend on the bull market, and, accordingly, does not have to worry about a bear market at all. His net worth is not a function of the investment of his savings – he does not want to depend on his investments, but on his cash earnings, for his enrichment. He takes not an inch of risk with his savings, which he invests in the safest possible vehicles. Treasury bonds are safe; they are issued by the United States Government, and governments can hardly go bankrupt since they can freely print their own currency to pay back their obligation.

NO WORK ETHICS

Today, at 39, after 14 years in the business, he can consider himself comfortably settled. His personal portfolio contains several million dollars in medium maturity Treasury Bonds, enough to eliminate any worry about the future. What he likes most about proprietary trading is that it requires considerably less time than other high-paying

professions; in other words it is perfectly compatible with his non-middle-class work ethics. Trading forces someone to think hard; those who merely work hard generally lose their focus and intellectual energy. In addition, they end up drowning in randomness; work ethics, Nero believes, draw people to focus on noise rather than the signal (the difference we established in Table P.1 on page 3).

This free time has allowed him to carry on a variety of personal interests. As Nero reads voraciously and spends considerable time in the gym and museums, he cannot have a lawyer's or a doctor's schedule. Nero found the time to go back to the statistics department where he started his doctoral studies and finished the “harder science” doctorate in statistics, by rewriting his thesis in more concise terms. Nero now teaches, once a year, a half-semester seminar called *History of Probabilistic Thinking* in the mathematics department of New York University, a class of great originality that draws excellent graduate students. He has saved enough money to be able to maintain his lifestyle in the future and has contingency plans perhaps to retire into writing popular essays of the scientific-literary variety, with themes revolving around probability and *indeterminism* – but only if some event in the future causes the markets to shut down.

THERE ARE ALWAYS SECRETS

Nero's probabilistic introspection may have been helped out by some dramatic event in his life – one that he kept to himself. A penetrating observer might detect in Nero a measure of suspicious exuberance, an unnatural drive. For his life is not as crystalline as it may seem. Nero harbors a secret, one that will be discussed in time.

John the High-Yield Trader

Through most of the 1990s, across the street from Nero's house stood John's – a much larger one. John was a high-yield trader, but he was not